

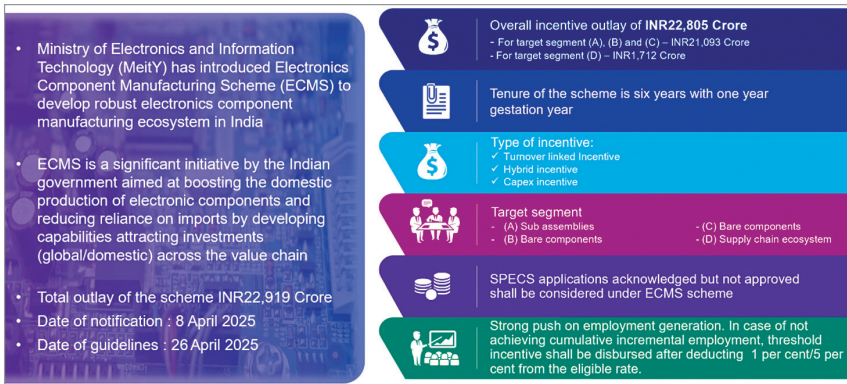


Fig. 3: ECMS in a nutshell

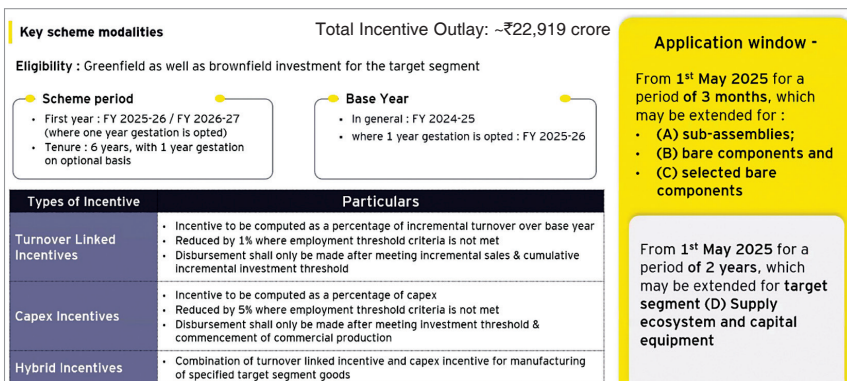


Fig. 4: Scheme overview

capacitors, inductors, ferrites, specialty ceramics

- **Electro-mechanicals.** Relays, switches, connectors, heat sinks, sensors, transducers

- **Sub-assemblies and bare components.** PCBs, camera modules, lithium-ion cells, display assemblies, and their supply chains

- **Capital equipment.** Tools and machinery for electronics manufacturing

Fig. 5 presents a comprehensive overview of the key target segments within the electronics manufacturing ecosystem. It categorises the industry into four main segments: sub-assemblies, bare components, selected bare components, supply chain ecosystem, and capital equipment. Each segment highlights specific products and components, such as display and camera module sub-assemblies, various types of

electronic components, advanced printed circuit boards, and essential supply chain parts. This segmentation provides a clear understanding of the diverse areas of focus and specialisation that drive innovation and efficiency in the electronics manufacturing sector.

Key considerations

- Separate applications must be filed for each target segment product, with only one application allowed per product.
- Applicants in target segments

A, B, and C must submit a self-certified statement of consolidated global ESDM manufacturing revenue for FY 2023-24.

- Applicants in target segment D must submit a net-worth certificate showing at least 50% of the proposed investment. If the net worth is lower, a board resolution for the committed investment and funding source is required.

- Bank guarantees are not necessary. However, if the required investment is not made in the first year or the cumulative investment falls below 50% of the threshold, approval may be revoked, rendering the applicant ineligible for incentives.

- Misrepresentation or false claims will result in the return of disbursed incentives with interest.

- Manufacturing through contract manufacturers is not eligible, though minor outsourcing on a job work basis is allowed if it does not constitute a significant part of manufacturing.

- Quarterly review reports (QRR) must be submitted within 30 days from the end of each quarter.

- Applications acknowledged under the SPECS scheme but not approved due to limited budget will be considered under ECMS if they meet the criteria, with investment counted from the date of acknowledgement under SPECS.

Key definitions

- An applicant refers to a company registered under the Companies Act, 2013 or an LLP registered under the LLP Act, 2008.

The vision: From assembly to self-reliance

The ECMS is part of a larger, phased strategy:

- **Phase 1.** Assembly of finished products to build scale and confidence
- **Phase 2.** Module-level manufacturing
- **Phase 3.** Deep component manufacturing
- **Phase 4.** Material manufacturing for components

This journey is already yielding results: India's electronics output has increased five-fold over the past decade, while exports have grown six-fold, driven largely by mobile phones, which accounted for over ₹2000 billion in exports in FY25.